At one point Yitzhak Molcho, the prime minister's personal envoy, was holding secret back-channel talks with a Palestinian negotiator who wasn't actually authorized to negotiate.[12]

This was the backdrop to the Herzliya Conference, a high-profile annual powwow for security and diplomatic types. It was unusually subdued in 2014: there was the usual chatter about Iran's nuclear program and the worsening civil war in Syria, but it had little of the urgency of past years, when a possible Israeli strike on Iran's nuclear facilities seemed to be imminent.

So the organizers invited the heads of major Israeli political parties to discuss their vision for the future. The result was a bizarre back-and-forth between Naftali Bennett, the head of the national-religious Jewish Home party, and Yair Lapid, from the centrist Yesh Atid. The latter ran for the first time in the 2013 election, and won a surprising nineteen seats, becoming the second-largest party after Netanyahu's Likud. It was a stunning victory. Lapid achieved it by talking almost exclusively about the economy, a hot topic after the major socioeconomic protests of 2011. He promised to lower housing prices, and to compel the ultra-Orthodox to "share the burden" in Israeli society by slashing their welfare benefits and drafting them into the army.

He found time, though, to make a rare foray back into foreign affairs at the conference, warning against the talk of unilateral annexation in the West Bank that had been gaining traction since the latest round of negotiations stalled in April. "If there is an attempt to annex even a single settlement unilaterally, Yesh Atid will not only withdraw from the government, it will bring it down," he said. (Israel has not formally annexed the West Bank, which would foreclose any possibility of a Palestinian state, though it has applied parts of Israeli law to the settlements, a sort of *de facto* annexation.)

Lapid was followed by Bennett, whose supporters were busy working the conference hall, handing out glossy brochures touting his "sovereignty plan". The Oslo process had reached a "dead end", he said, and it was time to move forward unilaterally and seize permanent control of "Area C", a designation created by Oslo for the two-thirds of the West Bank which remained under Israeli security control. It includes the Jordan Valley, the breadbasket of the West Bank, and most of the land around Jerusalem, along with all of the settlements dotted across the territory.